

For the Years Ended December 31
Millions of Dollars

	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	Terminal Value
Revenue	25,920	26,501	27,147	27,864	28,655	29,526	30,483	31,471	32,490	33,543	34,630	
Cost of Revenue	11,210	11,435	11,686	11,967	12,278	12,622	13,001	13,422	13,857	14,306	14,769	
Gross Margin	14,710	15,066	15,461	15,897	16,377	16,904	17,482	18,049	18,634	19,237	19,861	
Operating Expenses:												
Intangible amortization	-	-	-	-	-	-	-	-	-	-	-	
Selling, general & administrative	2,412	2,629	2,853	3,081	3,312	3,552	3,801	4,048	4,311	4,591	4,889	
Total Operating Expenses	2,412	2,629	2,853	3,081	3,312	3,552	3,801	4,048	4,311	4,591	4,889	
Operating Income	12,298	12,437	12,608	12,816	13,065	13,352	13,682	14,001	14,323	14,647	14,971	
Other Income/(Expense)	(139)	(145)	(148)	(150)	(152)	(152)	(152)	(152)	(152)	(152)	(152)	
Pretax Income	12,159	12,292	12,460	12,666	12,913	13,200	13,530	13,849	14,171	14,495	14,819	
Income Taxes	2,553	2,581	2,617	2,660	2,712	2,772	2,841	2,908	2,976	3,044	3,112	
Net Income	9,606	9,711	9,844	10,006	10,201	10,428	10,689	10,941	11,195	11,451	11,707	
+ Depreciation & Amortization	1,500	1,988	2,042	2,108	2,175	2,244	2,313	2,384	2,456	2,529	2,603	
- Capital Expenditures	(2,775)	(3,000)	(3,300)	(3,600)	(3,626)	(3,653)	(3,683)	(3,713)	(3,743)	(3,773)	(3,803)	
- Working Capital Additions	217	(70)	(78)	(86)	(95)	(105)	(115)	(119)	(122)	(126)	(130)	
Free Cash Flow	8,548	8,629	8,508	8,428	8,656	8,914	9,204	9,494	9,786	10,080	10,377	2,65,611
Present Value Factor		0.9848	0.9407	0.8849	0.8324	0.7830	0.7365	0.6928	0.6517	0.6130	0.5767	0.5593
PV Free Cash Flow		8,498	8,003	7,458	7,205	6,980	6,779	6,577	6,378	6,180	5,984	1,48,555
Value of Firm		2,18,597										
Less: Debt Outstanding		(39,483)										
Plus: Cash		1,600										
Equity Value		1,80,714										
Shares Outstanding		716										
Value Per Share	\$	252.43	20.79%									
Share Price (11/17/25)	\$	304.90										

Q3 2025 has 2413 mm cash. Just like we assumed for YE 23- we don't need this much cash for core operations. Owing to the tariffs situation etc, I have still added 500mm excess cash to arrive 1100mm

McDonalds
Discounted Cash Flow Analysis
For the Years Ended December 31
Assumptions

	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Revenue Growth	1.7%	2.2%	2.4%	2.6%	2.8%	3.0%	3.2%	3.2%	3.2%	3.2%	3.2%
Cost of Revenue	43.2%	43.1%	43.0%	42.9%	42.8%	42.7%	42.6%	42.6%	42.6%	42.6%	42.6%
Gross Margin	56.8%	56.9%	57.0%	57.1%	57.2%	57.3%	57.4%	57.4%	57.4%	57.4%	57.4%
Operating Expenses:											
Intangible amortization	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Selling, general & administrative	9.3%	9.0%	8.5%	8.0%	7.5%	7.3%	7.0%	6.5%	6.5%	6.5%	6.5%
Total Operating Expenses	9.3%	9.9%	10.5%	11.1%	11.6%	12.0%	12.5%	12.9%	13.3%	13.7%	14.1%
Operating Income	47.4%	46.9%	46.4%	46.0%	45.6%	45.2%	44.9%	44.5%	44.1%	43.7%	43.2%
Other Income/(Expense)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Pretax Income	46.9%	46.4%	45.9%	45.5%	45.1%	44.7%	44.4%	44.0%	43.6%	43.2%	42.8%
Income Tax Rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net Income	37.1%	36.6%	36.3%	35.9%	35.6%	35.3%	35.1%	34.8%	34.5%	34.1%	33.8%
Net PP&E	25,295	26,307	27,565	29,057	30,507	31,916	33,286	34,614	35,901	37,145	38,345
Revenue/Net PP&E	1.02	1.01	0.98	0.96	0.94	0.93	0.92	0.91	0.90	0.90	0.90
Capital Expenditure Growth	17.7%	8.1%	10.0%	0.7%	0.7%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%
Depreciation/Revenue	5.8%	7.5%	7.5%	7.6%	7.6%	7.6%	7.6%	7.6%	7.6%	7.5%	7.5%
Working Capital/Revenue	12.0%										

Discount Rate:

Risk-Free Rate	4.1% <i>check the SS</i>
Risk Premium	3.9% <i>assumed that it must be 8% generally, so deducted above Rf rate from it to arrive at 3.9%</i>
Beta	0.70 <i>from Yahoo finance and we have considered a range of ~0.50-0.70</i>
K(e)	6.9% <i>CAPM formula</i>
K(d)	4.2% <i>check formula</i>
Tax Rate	21.0% <i>have not changed the assumption from above</i>
Debt/Capital	15.3% <i>check calculation>></i>
WACC	6.31%

Debt	Equity	Capital
39,483	2,18,278	2,57,761

0	3	12	24	36	48	60	72	84	96	108	114
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McDonalds
Discounted Cash Flow Analysis
For the Years Ended December 31
Depreciation Schedule

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	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
2024 Net PP&E		1,868	1,790	1,712	1,634	1,557	1,479	1,401	1,323	1,245	1,167
2025 Capital Expenditures		120	120	120	120	120	120	120	120	120	120
2026 Capital Expenditures			132	132	132	132	132	132	132	132	132
2027 Capital Expenditures				144	144	144	144	144	144	144	144
2028 Capital Expenditures					145	145	145	145	145	145	145
2029 Capital Expenditures						146	146	146	146	146	146
2030 Capital Expenditures							147	147	147	147	147
2031 Capital Expenditures								149	149	149	149
2032 Capital Expenditures									150	150	150
2033 Capital Expenditures										151	151
2034 Capital Expenditures											152
Total Depreciation Expense	1,500	1,988	2,042	2,108	2,175	2,244	2,313	2,384	2,456	2,529	2,603
Intangible Amortization	-	-	-	-	-	-	-	-	-	-	-
Total Depreciation & Amortization	1,500	1,988	2,042	2,108	2,175	2,244	2,313	2,384	2,456	2,529	2,603